

Procurement Circular No. 5/2021

Quotation Threshold for Low-Value Purchases

Reference: JPDS/PRO/C/5/2021

Date: 2 August 2021

To:

All Heads of Division and Heads of Unit

All Procurement Officers

Jabatan Pembangunan Digital Sarawak

Purpose

1. This circular sets the monetary threshold above which a formal written quotation must be obtained for the purchase of goods and services by the Department.

Background

2. The Procurement Department has observed inconsistent practice among divisions. Some divisions obtain quotations for very small purchases, while others place orders of several thousand ringgit without any comparison of prices. A single threshold is therefore set for the whole Department.

Threshold

3. Purchases of goods or services with a value of up to RM20,000 per transaction may be made by direct purchase with the approval of the Head of Division, without a formal quotation exercise.

4. Purchases with a value above RM20,000 and up to RM100,000 require a minimum of three (3) written quotations from registered suppliers. The quotations must be submitted using Form PRO-03 (Quotation Evaluation Form).

5. Purchases above RM100,000 must be carried out through open tender and are not covered by this circular.

Conditions

6. A requirement must not be split into several smaller purchases in order to stay below the RM20,000 threshold. Any suspected splitting will be reported to the Internal Audit Unit.

7. Suppliers must be registered with the State Supplier Registry and hold a valid registration certificate on the date of the quotation.

8. For quotation exercises, the quotation period shall be at least seven (7) working days from the date the request for quotation is sent to suppliers.

9. The evaluation of quotations shall be carried out by a Quotation Committee of not fewer than three (3) officers, chaired by an officer of Grade 41 or above.

10. The lowest priced quotation that meets all specifications shall be recommended for award. If the lowest quotation is not recommended, the Quotation Committee must record its reasons in writing.

Records

11. Every Head of Division shall keep a Purchase Register for direct purchases up to RM20,000 and submit a summary to the Procurement Department by the fifth (5th) day of every month.

12. Quotation documents shall be kept for a minimum of seven (7) years from the date of award.

Effective Date

13. This circular takes effect on 1 September 2021. It replaces the verbal instructions previously given by the Procurement Department on small purchases.

Enquiries

14. Enquiries may be directed to the Procurement Officer, Procurement Department, at extension 3105 or procurement@jpds.example.my.

Thank you.

"SERVING SARAWAK"

I am directed to convey this circular,

(Encik Wong Kee Hiong)
Director of Procurement
Procurement Department
Jabatan Pembangunan Digital Sarawak

cc: Director of the Department

cc: Internal Audit Unit